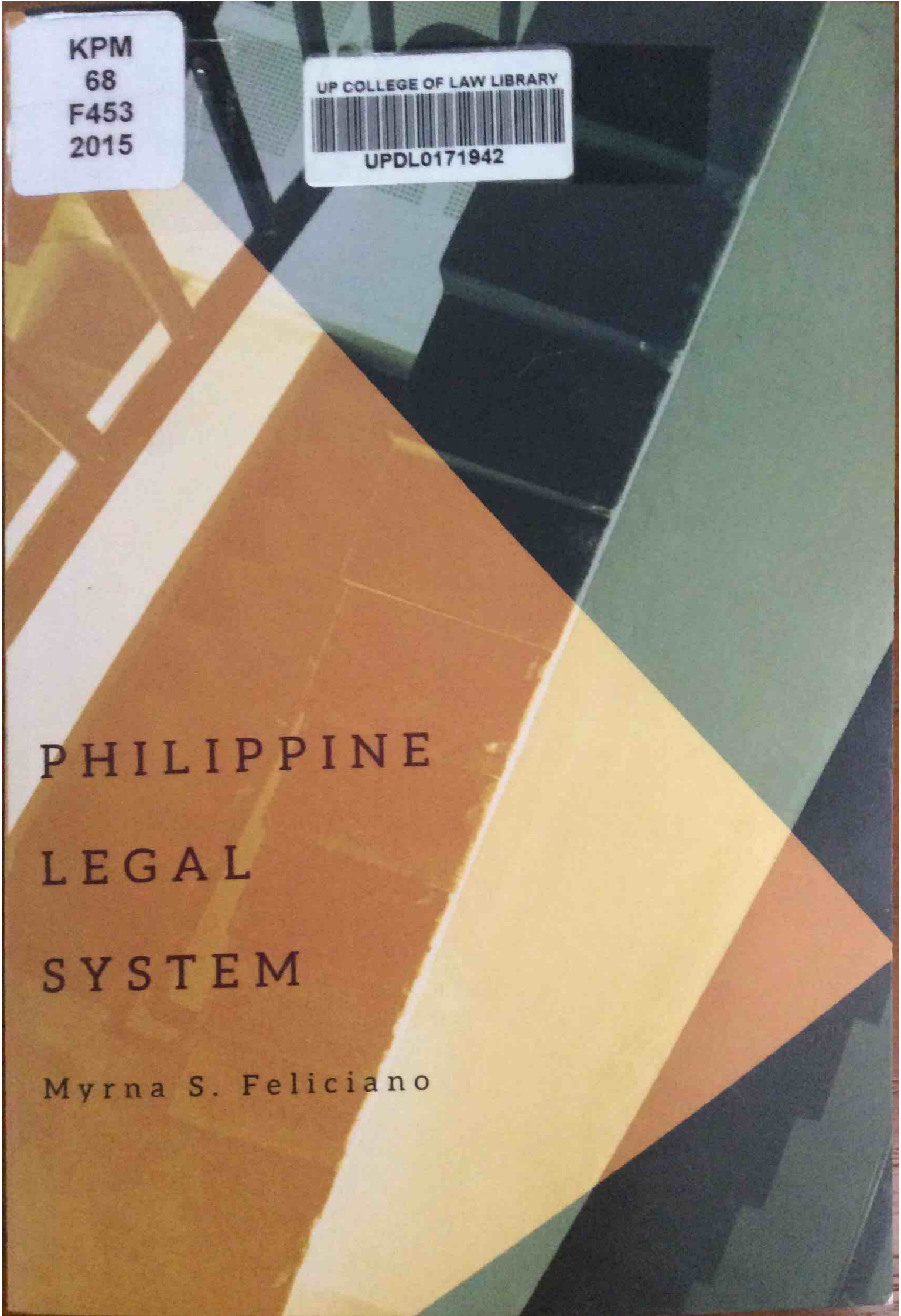
KPM
68
F453
2015

UP COLLEGE OF LAW LIBRARY
UPDL0171942



PHILIPPINE LEGAL SYSTEM

Myrna S. Feliciano

U.P. LAW LIBRARY

PHILIPPINE LEGAL SYSTEM

MYRNA S. FELICIANO
Author

UP LAW COMPLEX
OF THE
COMPLIMENTS

U.P. Law Complex
2015

16-13384 C.2

KPM
68
F453
2015

COPYRIGHT 2015

ALL RIGHTS RESERVED BY

THE AUTHOR

AND

THE U.P. LAW COMPLEX

ISBN No. 978-971-15-0464-9

No portion of this book may be copied or reproduced in books, pamphlets, outlines or notes, whether printed, mimeographed, typewritten, copied in different electronic devices or in any other form, for distribution or sale, without the written permission of the author and the U.P. Law Complex except brief passages in books, articles, reviews, papers and others with proper citation.

Published by

Information and Publication Division
U.P. Law Complex
Diliman, Quezon City

FOREWORD

This book on Philippine legal system has been a work in progress. It has its beginnings in a pamphlet, for the Manila World Peace through Law Conference held in 1977. Since then, expanded versions were published, first, in 1987 when the present Philippine Constitution was ratified and then updated, in 1995, to reflect subsequent changes in government. Both these papers were published by the ASEAN Law Association (ALA) in its compilation of ASEAN legal systems.

Twenty years later, Professor Myrna S. Feliciano revisits the subject matter with this book on *Philippine Legal System*. Keeping pace with the steady growth of new legislation, jurisprudence, and law reform in the Philippines, she has updated her earlier works, incorporating new materials, along with additional chapters on Criminal Law, Alternative Dispute Resolution and Environmental Law. Professor Feliciano, who teaches Legal Ethics, Legal Method and Legal Research, is a recognized authority on these three subjects.

This book should serve as a handbook not only for students and legal researchers but for all who wish to do business with the Philippines.

DANILO L. CONCEPCION

PREFACE

In 1990, a book entitled Constitutional and Legal Systems of ASEAN Countries was published by the U.P. Law Center and edited by Prof. Carmelo V. Sison, a Philippine Constitutionalist. Each of the six countries, namely, Brunei, Indonesia, Malaysia, Philippines, Singapore and Thailand contributed papers namely the social science and constitutional aspects of the legal systems of their country. Its objective is to promote the rule of law by considering the basic principles of each country.

The earlier book was used by Philippine schools as a *must* reading in social science courses offered in colleges and universities. It is with this in mind that the undersigned decided to update the legal system of the Philippines. Based on axiom that law is an agent of social change, it is hoped that subsequent studies and future scholarship will discover the commonalities within the ASEAN member states so that an ASEAN legal culture may emerge.

For being a reader of this book, the author acknowledges the invaluable advice and assistance of Prof. Dante Gatmaytan, and the staff of the Information and Publication Division of the U.P. Law Center, and of course, Dean Danilo L. Concepcion for endorsing the publication of this book

MYRNA S. FELICIANO

TABLE OF CONTENTS

Chapter 1. Historical Overview 1

Chapter 2. Sources of Law 14

Chapter 3. Government and the State 31

Chapter 4. Legal Procedure / Administration of Justice .. 67

Chapter 5. The Legal Profession 93

Chapter 6. Contract Law 105

Chapter 7. Tort Law 109

Chapter 8. Investments Law 115

Chapter 9. Intellectual Property Law 132

Chapter 10. Alternative Dispute Resolution 144

Chapter 11. Criminal Law 158

Chapter 12. Environmental Law 169

CHAPTER 1

HISTORICAL OVERVIEW

Introduction

The Philippines, an archipelago of 7,107 islands (about 2,000 of which are inhabited), with a land area of 115,600 sq m, has a population of 93.9 million.[1] Some 87 major dialects are spoken all over the islands. English and Filipino are the official languages with English as the language of instruction in higher education. According to the 2010 census, the functional literacy rate is 84.1%. Agriculture constitutes the largest single sector of the economy. The country has a total labor force of 78.8%.

The Philippine legal system is aptly described as a blend of customary usage, and Roman (civil law) and Anglo-American (common law) systems. The civil law operates in areas such as family relations, property, succession, contract and criminal law while statutes and principles of common law origin are evident in such areas as constitutional law, procedure, corporation law, negotiable instruments, taxation, insurance, labor relations, banking and currency. In some Southern parts of the islands, Islamic law is observed.

This particular legal system is the result of the immigration of Muslim Malays in the fourteenth century and the subsequent colonization of the islands by Spain and the United States.

---

[1] NSCB Fact sheet, March 1, 2010.

Historical Background

Philippine legal history may be categorized according to the various periods in the political history of the country: the pre-Spanish period (pre-1521); the Spanish regime (1521-1898); the Philippine Republic of 1898; the American regime (1898-1935); the Commonwealth era (1935-1946); the Japanese occupation (1941-1944); the Period of the Republic (1946-1972); the Martial Law Period (1972-1986); and the continuation of the Republic.

Pre-Spanish Period

Historians have shown conclusively that the early Filipinos lived in numerous independent communities called *barangays* under various native rules which were largely customary and unwritten. Evidence points to the existence of two codes, namely, the Maragtas Code issued by Datu Sumakwel of Panay Island some time between 1200 and 1212 A.D. and the Penal Code of Kalantiao issued by a datu of that name in 1433. However, there are some historians who question the existence of these codes.

These customary laws dealt with subjects such as family relations, inheritance, divorce, usury, partnerships, loans, property rights, barter and sale, and crime and punishment. The penal law distinguished between felonies and misdemeanors, recognized a distinction between principal and accomplice in matters of criminal liability, and had an idea of the existence of qualifying and mitigating circumstances, as well as recidivism as an aggravating circumstance.[2]

Like many ancient societies, trial by ordeal was practiced in the *barangay*.

The Spanish Regime

The arrival of Ferdinand Magellan in the Philippines on 16 March 1521 presaged a new era in the history of Philippine law.

---

[2] T. Agoncillo & M. Guerrero, History of the Filipino People 46-7 (4th ed., 1973).

Spanish laws and codes were extended to the Philippines either expressly by royal decrees or by implication through the issuance of special laws for the islands. The most prominent of these laws and codes were the *Fuero Juzgo, Fuero Real, Las Siete Partidas, Las Leyes de Toros, Nueva Recopilacion de Las Leyes de Indias,* which contained all the laws then in force in the Spanish colonies and the *Novisima Recopilacion*, which comprised all the laws from the fifteenth century up to 1805.[3]

At the end of Spanish rule in the Philippines, the following codes and special laws were in force in the country: the *Codigo Penal de* 1870 which was extended to the islands in 1887; the *Ley Provisional para la Aplicaciones de las Disposiciones del Codigo Penal en las Islas Filipinas* in 1888; the *Ley de Enjuiciamiento Criminal* (Code of Criminal Procedure of 1872, which was extended in 1888); *Ley de Enjuiciamiento Civil* (Code of Civil Procedure of 1856); *Codigo de Comercio* (Code of Commerce of 1886); *Codigo Civil de 1889* (except the portion relating to marriage); the Marriage Law of 1870; the *Ley Hipotecaria* (Mortgage Law of 1861, which was extended in 1889); the *Ley de Minas* (Mining Law of 1859); the *Ley Notarial de* 1862; the Railway Law of 1877; the Law of Foreigners for Ultramarine Provinces of 1870; and the Code of Military Justice.[4]

The Philippine Republic of 1898

By 1872, the Filipinos had revolted against Spain because of the abuses committed by the Spanish authorities and friars. The revolution spread so rapidly that on 12 June 1898, the independence of the Philippines was proclaimed by General Emilio Aguinaldo. A Revolutionary Congress was convened on 15 September 1898, and on 20 January 1899, the Malolos Constitution was approved.[5] This Constitution proclaimed popular sovereignty and enumerated the fundamental civil and political rights of the individual. At the time

---

[3] M. Gamboa, An Introduction to Philippine Law 69-70 (7th ed, 1969).
[4] *Ibid.*, p. 71.
[5] T. Agoncillo, Malolos The Crisis of the Republic 306 (1960).

of its proclamation, the Republic exercised, albeit briefly, *de facto* authority, although this came to an end upon the coming of the Americans.

The American Era and the Commonwealth

The end of the Spanish-American War, which was followed by the signing of the Treaty of Paris on 10 December 1898, paved the way for the cession of the Philippines to the United States. Upon the establishment of American sovereignty, the political laws of the Philippines were totally abrogated and Spanish laws, customs and rights of property inconsistent with the US Constitution and with American principles and institutions were superseded. The government operated under different organic laws, namely: President MacKinley's Instructions to the Second Philippine Commission on 7 April 1900; the Spooner Amendment of 1901; the Philippine Bill of 1902; the Jones Law of 1916 and the Tydings-MacDuffie Law of 1934.[6] Pursuant to the Tydings-MacDuffie Law, a Commonwealth government was to be established for a transitional period of ten years before independence could be granted. Likewise, it granted to the Filipinos a right to formulate their own Constitution. In due course, a Constitution was approved on 8 February 1935 which was signed by US President Franklin D Roosevelt on 23 March 1935 and ratified at a plebiscite held on 14 May 1935. Voters went to the polls to elect the first set of executive and legislative officials led by President Manuel L. Quezon and Vice-President Sergio Osmeña.

The Japanese Occupation

On 08 December 1941, the Philippines was invaded by Japanese forces and was occupied until 1944. During the three-year military rule, a 1943 Constitution was drafted and ratified by a special national convention of the *Kapisanan sa Paglilingkod ng Bagong Pilipinas* (KALIBAPI),[7] which led to the establishment

---

[6] V. Sinco, Philippine Political Law 85 (11th ed., 1962).

[7] T. Agoncillo & M.Guerrero *op. cit.* note 1 at 456.

of the short-lived Japanese-sponsored republic headed by President Jose P. Laurel.

During the Japanese occupation, the Commonwealth, then in exile, functioned in Washington D.C. from 13 May 1942 to 3 October 1944 until its reestablishment in Manila on 28 February 1945 by President Sergio Osmeña.

The Philippine Republic, 1946-1972

The inauguration of the Philippine Republic on 4 July 1946 marked the culmination of the Filipinos' 300 years of struggle for freedom. The 1935 Constitution served as the fundamental law with the executive power being vested in the President, the legislative power in the bicameral Congress of the Philippines and the judicial power in the Supreme Court and inferior courts established by law.

In the beginning, efforts of the government were geared towards economic rehabilitation and the preservation of peace and order. Due to the widespread agitation for reforms in the legal and political arenas, Congress adopted Resolution of Both Houses (RBH) No. 2, as amended by RBH No. 4, calling for a Constitutional Convention to propose amendments to the Constitution on 16 March 1967. The resolution was implemented by Republic Act No. 6132 and approved on 24 August 1970. Pursuant to its provisions, the election of 320 delegates was held on 10 November 1970.

The Constitutional Convention met on 1 June 1971 and it took its members 17 months to draft a new Constitution. While the Convention was in session, President Ferdinand E. Marcos, acting in accordance with the provisions of the 1935 Constitution, placed the entire Philippines under Martial Law.[8] On 29 November 1972, the Constitutional Convention completed its work. The draft of the new Constitution was submitted to the Filipino people through citizens' assemblies[9] and was ratified on 17 January 1973.[10]

---

[8] Proc. No. 1081, s. 1972, 68 O.G. 7624 (Sept., 1972).

[9] Created by Pres. Decree No. 86 (1972), 69 O.G. 227 (Jan., 1973).

[10] Proc. No. 1102, s. 197, 69 O.G. 592 (January, 1973). The validity of this proclamation was questioned in five petitions often referred to in Javellana v. Executive Secretary, *et al.*, G.R. Nos. 36164-65, 36142, 36236, 36283, March

Proclamation No. 1104[11] was issued on the same day declaring the continuation of martial law.

The Martial Law Period

The 1973 Constitution established a parliamentary form of government and introduced the merger of executive and legislative powers. The Chief Executive, the Prime Minister, was elected by a majority of all the members of the National Assembly from amongst themselves[12] and could be dismissed by electing a successor Prime Minister.[13] On the other hand, the Prime Minister had the power to advise the President to dissolve the National Assembly and call for a general election.[14] The President was reduced to being a symbolic head of state.[15]

This parliamentary form of government was never implemented. The Transitory Provisions of the 1973 Constitution, which provided for a transition from the old presidential form of government to a parliamentary system, specifically made the proclamation, decrees and acts of the incumbent President part of the law of the land[16] and at the same time empowered the President to initially convene the interim National Assembly which was never effected.[17] By amendments to the Constitution in October

---

31, 1973, wherein the Supreme Court dismissed the petitions and indicated in the dispositive portion that 'there is no further judicial obstacle to the New Constitution being considered in force and effect.'

[11] 69 O.G. 592-3 (Jan., 1973)

[12] Const. (1973), art. IX, sec. 3.

[13] Const. (1973), art. VIII, sec. 13(1).

[14] Const. (1973), art. VIII, sec. 13(2).

[15] Const. (1973), art. VIII, sec. 1.

[16] Const. (1973), art. XVII, sec. 3(2). Various presidential decrees dealt with government reorganization, education, economic development, monetary and financial reforms, development and manpower development and social services.

[17] Const. (1973), art. XVII, sec. 3(1). The validity of the President's refusal to convene the Interim National Assembly and his power to promulgate proclamations, orders and decrees during the Martial Law Period were some of the issues raised in Aquino, Jr. v. Commission on Elections, G.R. No. 40004, January 21, 1975, 62 SCRA 275 (1975). The Supreme Court affirmed the power of the President to issue decrees and orders and held that the New Constitution

1976,[18] however, the powers of the incumbent President were maintained and augmented and an *Interim Batasang Pambansa* (interim legislature) was created, having the same powers as a regular legislative body. In Amendment No. 3, the powers of the President and Prime Minister were merged in the then incumbent President (Ferdinand E Marcos), who immediately became a member of the *Interim Batasang Pambansa*. Because of these Amendments, he occupied the positions President and Prime Minister, which arrangement was to last only during the transition period or until the members of the regular legislature 'shall have been elected'. Under Amendment No. 6, the President was also empowered to continue to exercise legislative powers until martial law 'shall have been lifted'. If in his judgment, 'there exists a grave emergency or threat or imminence thereof, or whenever the *Interim Batasang Pambansa* or the regular National Assembly fails or is unable to act adequately on any matter for any reason that in his judgment requires immediate action, he may, in order to meet the exigency, issue the necessary decrees, orders or letters of instructions which shall form part of the law of the land'.[19]

Likewise, Amendment No. 7 stipulated the continuance of the *barangays* (smallest political subdivision) and *sanggunians* (councils) and the use of referenda to ascertain the will of the people regarding important matters, whether of national or local interest.

On 7 April 1978, 160 regional representatives apportioned among the 13 regions of the country were elected to the *Interim Batasang Pambansa* while 14 members representing the youth, agriculture, labor and industrial labor sectors were chosen on 27

---

gave the President the discretion as to when to convene the *Interim* National Assembly.

[18] On October 16-17, the people, in a Referendum Plebiscite, ratified the Amendments to the 1973 Constitution which took effect on October 27, 1976, under Proc. No. 1595 (1976), 76 O.G. 4095 (June, 1980).

[19] The validity of Amendment No. 6 was questioned and sustained by the Supreme Court in Legaspi v. Minister of Finance, G.R. No. 58289, July 24, 1982, 115 SCRA 418 (1982).

April 1978. The *Interim Batasang Pambansa* convened on 12 June 1978 with a total membership of 192.

The 1973 Constitution was subsequently amended in 1980[20] and 1981.[21]

The 1980 Amendments increased the retirement age of Supreme Court judges and justices from 65 to 70 years. The 1981 Amendments introduced a modified form of presidential/ parliamentary system. The President, who was the Head of State and chief executive of the Republic, was directly elected by the people for a term of six years.[22] There was a Prime Minister who was elected by a majority of the *Batasang Pambansa* upon nomination of the President.[23] He was head of the Cabinet and had supervision of all ministries.[24] Together with the Cabinet, he was responsible to the *Batasang Pambansa* for the programme of the government, approved by the President.[25] The *Batasan* could withdraw its confidence from the Prime Minister and the latter could seek a popular vote of confidence on fundamental issues and request the President to dissolve the legislature.[26] There was also an Executive Committee designated by the President, composed of the Prime Minister as Chairman and not more than 14 members, at least half of whom were members of the *Batasang Pambansa*.[27] It was charged with assisting the President in the exercise of his powers and functions and in the performance of his duties. The other 1981 Amendments included the composition of the *Batasang Pambansa*; the qualification of its members; their term of office and the setting up of the first regular elections in 1984; electoral

---

[20] See Art. X, sec. 7 wherein the retirement age of members of the Supreme Court and judges of inferior courts was changed from 65 years to 70 years of age. This was ratified in a plebiscite held on January 30, 1980, and its results announced in Proc. No. 1959.

[21] The plebiscite was held and ratified on April 7, 1981, the result of which was announced in Proc. No. 2077 (1981).

[22] CONST. (1973), art. VII, secs. 1 & 3.

[23] CONST. (1973), art. VII, secs. 1 & 3.

[24] CONST. (1973), art. IX, sec. 10.

[25] CONST. (1973), art. IX, sec. 2.

[26] CONST. (1973), art. IX, sec. 3.

[27] CONST. (1973), art. IX, sec. 3.

reforms on the accreditation of political parties and change of political party affiliation; and the provision that a natural-born citizen of the Philippines who had lost his Philippine citizenship could be a transferee of private land for residential purposes. According to one constitutionalist, although the 1973 Constitution classified governmental powers into the three areas of the executive, legislative, and judiciary, the separation of powers and its corollary rule of non-delegation of power were neither well-defined nor strictly observed.[28] Martial Law was lifted on 17 January 1981, and military tribunals were abolished by Proclamation No. 2045.[29]

A presidential election was held on 16 June 1981 and President Marcos was again re-elected. In his inaugural address on 30 June 1981, he proclaimed the birth of the Fourth Republic under the New Constitution, as amended.

The assassination of former Senator Benigno S. Aquino, on 21 August 1983, triggered mass demonstrations and an economic crisis which paved the way to another set of amendments to the 1973 Constitution.[30] The 1984 Amendments consisted of the following:

(1) the establishment of a different mode of presidential succession with the creation of the Office of the Vice-President and the abolition of the Executive Committee;
(2) the apportionment of representation in the *Batasang Pambansa* by province, city, and by districts in Metropolitan Manila, instead of by region; (3) the grant, as an additional mode for the acquisition of public lands, and that the agrarian reform programme may include the grant or distribution of alienable public lands to qualified tenants, farmers and other landless citizens; and (4) making

---

[28] I.R. CORTES, PHILIPPINE ADMINISTRATIVE LAW: CASES AND MATERIALS 26 (2nd rev ed., 1984).
[29] 77 O.G. 441 (Jan., 1981).
[30] The Plebiscite was held on January 27, 1984, pursuant to Batas Blg. 643 (1984), 80 O.G. 4732 (September, 1984).

> the State undertake an urban land reform and social housing programme for the homeless, landless, and the low-income resident citizens.

On 14 May 1984, elections were held for the 183 elective seats in the 200-member *Batasang Pambansa*. The legislature convened on 23 July 1984. An impeachment resolution was filed by 57 members of the opposition against President Marcos but this was dismissed by the *Batasan* Committee on Justice for not being sufficient in form and substance to warrant further consideration.

On 3 November 1985, President Marcos announced the calling of a special presidential election and for which the *Batasang Pambansa* set 7 February 1986 as the date of the so-called 'snap election'. Corazon C. Aquino and Salvador H. Laurel as presidential and vice-presidential candidates were pitted against President Marcos and Arturo M. Tolentino. The election on February 7 emerged as the most anomalous poll ever held in the country with widespread incidents of stuffed ballots, election returns snatchings, harassments, mauling, and vote-buying with 10% of Metropolitan Manila voters being disenfranchised. Despite an awakened and vigilant citizenry working through the NAMFREL (National Movement for Free Elections), whose count gave Aquino a wide lead of one million, the *Batasang Pambansa* declared Marcos and Tolentino to be the winners. Subsequent events led to an Armed Forces mutiny and the four-day 'people-power revolution', which resulted in the ousting of President Marcos from the Philippines on 25 February 1986.

The Continuation of the Republic

When Corazon C. Aquino took her oath of office as President on 25 February 1986, Proclamation No. 1[31] was issued wherein she declared that she and her Vice-President were 'taking power in the name and by the will of the Filipino people' on the basis of the clear sovereign will of the people expressed in the election of

---

[31] 82 O.G. 1236 (March 3, 1986).

07 February 1986.[32] The new government came into power not in accordance with the procedure outlined in the 1973 Constitution but as explicitly stated in the preamble to Proclamation No. 3 which stated that 'the new government was installed through a direct exercise of the power of the Filipino people assisted by units of the New Armed Forces of the Philippines' and that this 'heroic action of the people was done in defiance of the provisions of the 1973 Constitution, as amended'. The Provisional Constitution,[33] otherwise known as the Freedom Constitution, adopted *in toto* the provisions of Article I (National Territory), Article III (Citizenship), Article IV (Bill of Rights), Article V (Duties and Obligations of Citizens), and Article VI (Suffrage) of the 1973 Constitution, as amended. Other provisions, such as Article II (Declaration of Principles and State Policies), Article VII (The President), Article X (The Judiciary), Article XI (Local Governments), Article XII (The Constitutional Commission), Article XIII (Accountability of Public Officers), Article XIV (The National Economy and Patrimony of the Nation), and Article XV (General Provisions) were adopted insofar as they were not inconsistent with the provisions of the Proclamation, while Articles VIII, IX, XVI and XVII were deemed to be superseded.[34] Under the Provisional Commission, all existing laws, decrees, executive orders, proclamations, letters of instructions and other executive issuances, not inconsistent with this Proclamation, were to remain operative until amended, modified or repealed by the President or the regular legislative body to be established under a new Constitution.[35] The President continued to exercise legislative power.[36]

---

[32] The legitimacy of the Aquino government was questioned in Lawyers' League for a Better Philippines v. Aquino and other cases, G.R. Nos. 73748, 73972 & 73990, May 22, 1986, where the Supreme Court dismissed in a resolution because 'the legitimacy of the Aquino government is not a justiciable matter of which the people of the Philippines are the judge. And the people have made the judgment. They have accepted the government of President Corazon C. Aquino which is in effective control of the entire country so that it is not merely a *de facto* government but is in fact a law a *de jure* government'.

[33] Proclamation No. 3, dated March 25, 1986, 82 O.G. 1567 (March, 1986).

[34] CONST., art. I, secs. 1-3.

[35] CONST., art. IV, sec. 1.

[36] CONST., art. II, sec. 1.

Pursuant to Article V of the Provisional Constitution, the Constitutional Commission was constituted under Proclamation No. 9[37] composed of 50 members with the task of drafting a Constitution in 'as short a period as may be consistent with the need to hasten the return of normal constitutional government.'[38] After 133 days of work by a vote of 45 to 2, the proposed new Constitution, consisting of a preamble, 18 articles and 321 sections, was submitted to the President on 15 October 1986. It was ratified by the people in a plebiscite held on 2 February 1987. By its very nature, the Provisional Constitution, as well as the revolutionary government which operated it, self-destructed upon the ratification and effectivity of the New Constitution since the incumbent President and Vice-President elected in the 7 February 1986 electoral exercise were provided a six-year term of office until June 30, 1992 under the Transitory Provisions.[39] The Congressional elections were scheduled to be held on 11 May 1987.[40] The incumbent President continued to exercise legislative powers until the first Congress was set to be convened. Despite several coups, President Aquino completed her term under the 1987 Constitution. Elections were held on 11 May 1992, and Fidel V. Ramos was elected President. He was succeeded by Joseph Ejercito Estrada after the 11 May 1998 elections. In view of the exposè of Governor Luis Singson, the Senate opened the impeachment trial of President Estrada on 20 November 2000. As a result of the 11-10 vote by the Senator-judges against the opening of the second envelope which contained evidence, there was spontaneous outburst of anger that hit the streets wherein public prosecutors withdrew their appearances followed by resignations of other public officers from the Cabinet. These actions and 'people power' held to his resignation.[41] Vice-President Gloria M. Arroyo took her oath as President on 20 January 2001 and was reelected on 11 May 2004.

---

[37] Dated April 23, 1986, 82 O.G. 1887 (April, 1986).

[38] Proc. No. 9, 1986, Sec. 2.

[39] CONST., art. XVIII, sec. 5.

[40] Exec. Order No. 134, February 27, 1987, 83 O.G. 788 (March, 1987).

[41] *Cf* Estrada v. Desierto, G.R. Nos. 146710-15 & 146738, March 2, 2001, 353 SCRA 452 (2001).

Recently, with expiration of the term of President Arroyo on 30 June 2010, elections were held on 10 May 2010. As a result of the first automated elections, Sen. Benigno Simeon "Noynoy" Aquino III was elected President.

CHAPTER 2

SOURCES OF LAW

The main sources of Philippine law are the Constitution, statutes, treaties and conventions, and judicial decisions. The Constitution is the fundamental law of the land and as such, it is authority of the highest order against which no other authority can prevail. Every official action, to be valid, must conform to it. On the other hand, statutes are intended to supply the details which the Constitution, because of its nature, must leave unprovided for. The statutes of the Philippines are numerous and varied in their contents. They provide rules and regulations which will govern the conduct of people in the face of ever-changing condition.

Having the same force of authority as legislative enactments are the treaties which the Philippines executes with other states. A treaty has been defined as a compact made between two or more independent nations with a view to the public welfare.[1] As a member of the family of nations, the Philippines is a signatory to and has ratified numerous treaties and conventions.

Philippine law is also derived from cases because the Civil Code provides that 'judicial decisions applying to or interpreting the laws or the Constitution shall form a part of the legal system of the Philippines'.[2] Following the three-tier system of courts, only decisions of its Supreme Court establish jurisprudence and are binding on all other courts.[3] Thus, these decisions assume the same authority as the statutes

---

[1] See Adolfo v. Court of First Instance, G.R. No. 30650, July 31, 1970, 34 SCRA 169 (1970).

[2] CIVIL CODE, art. 8.

[3] Miranda v. Imperial, 77 Phil. 1066 (1947).

to which they apply or interpret and until authoritatively abandoned, necessarily become, to the extent that they are applicable, the criteria which must control the actuations not only of those called upon to abide thereby but also of those duty-bound to enforce obedience thereto.[4]

To a certain extent, customary law forms part of the Filipino legal heritage because the 1987 Constitution provides that 'the State shall recognise, respect, and protect the rights of indigenous cultural communities to preserve and develop their cultures, traditions and institutions'.[5] This was true even as early as 1889 because the old Civil Code provided that 'where no statute is exactly applicable to the point in controversy, the custom of the place shall be applied, and in the absence thereof, the general principles of law'.[6] Although this provision was discarded in the new Civil Code[7] which took effect in 1950, it is believed that the judge may still apply the custom of the place or, in its default, the general principles of law in the absence of any statute governing the point in controversy; otherwise the provision of the same Code which requires him to decide every case even where there is no applicable statute would prove to be a veritable enigma.[8] The Civil Code also provides that 'customs which are contrary to law, public order or public policy shall not be countenanced', and 'a custom must be proved as a fact according to the rules of evidence'.[9] Thus, Philippine law takes cognizance of customs which may be considered as supplementary sources of the law.

---

[4] Caltex (Phil.) Inc. v. Palomar, GR. No. 19650, September 29, 1966, 18 SCRA 247, 257 (1966).

[5] CONST., art XIV, sec. 17. This was implemented by Rep. Act No. 8371 otherwise known as the Indigenous Peoples Rights Act which was declared constitutional by the Supreme Court in Cruz v. Secretary of Environment and Natural Resources, G.R. No. 13585, December 6, 2000, 347 SCRA 128 (2000).

[6] CIVIL CODE (1889), art. 6, par. 2.

[7] Rep. Act No. 386 (1950).

[8] M.J. GAMBOA, AN INTRODUCTION TO PHILIPPINE LAW 14-15 (7th ed., 1969); CIVIL CODE, art. 9 which provides 'no judge or court shall decline to render judgment by reason of the silence, obscurity or insufficiency of the laws'.

[9] CIVIL CODE, arts. 11 & 12.

PHILIPPINE STATUTES

The statutes of the Philippines are found in the various enactments of the Philippine legislature since its creation in 1900. From the establishment of the American civil government in 1900 to 1935, there were 4,275 laws passed by the Philippine Commission and its bicameral successor, the Philippine Legislature. The Commonwealth period witnessed the enactment of 733 statutes while 6,635 Republic Acts were legislated from 04 July 1946 to 21 September 1972. During the martial law period, a total of 2,035 Presidential Decrees were promulgated as of February 20, 1986 while 891 laws were enacted by the Batasang Pambansa from July 23, 1984 to February 1, 1986. A total of 302 Executive Orders have been issued by President Corazon C. Aquino. Congress convened on 27 July 1987 and has enacted 10,639 Republic Acts to date. Thus, there has been a total of 18,600 statutes since 1900.

There are 32 codes in force today: (1) Civil Code;[10] (2) Revised Penal Code;[11] (3) Code of Commerce (1888);[12] (4) Administrative Code;[13] (5) National Internal Revenue Code;[14] (6) Omnibus Election Code;[15] (7) Tariff and Customs Code;[16] (8) Code of Agrarian Reforms;[17] (9) Land Transportation and Traffic Code;[18] (10) National Building Code;[19] (11) Revised Forestry

---

[10] Rep. Act No. 386 (1950), as amended.

[11] Act No. 3815 (1932), as amended.

[12] A considerable part of this Code has been expressly repealed and superseded by later legislation.

[13] Exec. Order No. 292 dated 25 July 1987, as amended. Despite its repealing clause, there are provisions in the REV. ADM. CODE of 1917 which were not reproduced in this Code. *Cf.* Mecano v. Commission on Audit, G.R. No. 103982, December 11, 1992, 216 SCRA 500 (1992).

[14] Pres. Decree No. 1158 (1977), as amended.

[15] Batas Blg. 881 (1984).

[16] Pres. Decree No. 1464 (1978), as amended.

[17] Rep. Act No. 3844 (1963), as amended.

[18] Rep. Act No. 4136 (1964), 61 O.G. 2168 (14 April 1965).

[19] Rep. Act No. 6541 (1972), as amended

Code[20] (12) Cooperative Code;[21] (13) Labor Code;[22] (14) National Code of Marketing of Breastmilk Substitutes;[23] (15) Insurance Code;[24] (16) Child and Youth Welfare Code;[25] (17) Sanitation Code;[26] (18) Water Code [27] (19) Philippine Environment Code;[28] (20) Muslim Code of Personal Laws;[29] (21) Fire Code;[30] (22) Coconut Industry Code;[31] (23) Corporation Code;[32] (24) Omnibus Investments Code of 1987;[33] (25) State Auditing Code;[34] (26) Local Government Code;[35] (27) the Family Code;[36] (28) Philippine Fisheries Code of 1998;[37] (29) Intellectual Property Code;[38] (30) The Securities Regulation Code;[39] (31) Meat Inspection Code of the Philippines;[40] and (32) The Pre-Need Code.[41]

The following is a summary of some of the basic codes.

The Code of Commerce

The Code of Commerce became effective on December 1, 1888, largely taken from the Spanish Code of Commerce of

---

[20] Pres. Decree No. 705 (1978), as amended.
[21] Rep. Act No. 6938 (1990).
[22] Pres. Decree No. 442 (1974), as amended.
[23] Exec. Order No. 51 (1986).
[24] Pres. Decree No. 612 (1974). All insurance laws have been consolidated by Pres. Decree No. 1460 (1978), as amended.
[25] Pres. Decree No. 603 (1975), as amended by Presidential Decree No. 1179 (1979) and Exec. Order No. 91 (1986), 83 O.G 92 (January 1987).
[26] Pres. Decree No. 856 (1975), 79 OG 2732 (May 1983).
[27] Pres. Decree No. 1067 (1976), 73 O.G 3554 (May, 1977).
[28] Pres. Decree No. 1152 (1977), 73 O.G 7363 (August, 1977).
[29] Pres. Decree No. 1083 (1979), 73 O.G 4038 (May, 1977).
[30] Pres. Decree No. 1185 (1977), 73 O.G 10292 (October, 1977).
[31] Batas Blg. 61 (1980), 76 O.G 2342 No. 15 (April, 1980).
[32] Batas Blg. 68 (1980), 76 O.G 4955 (July, 1980).
[33] Exec. Order No. 226 (1987).
[34] Pres. Decree No. 1445 (1978), 74 O.G 6111 (August, 1978).
[35] Rep. Act No. 7160 (1991).
[36] Exec. Order No. 209 (1987), as amended.
[37] Rep. Act No. 8550 (1998).
[38] Rep . Act No. 8293 (1997).
[39] Rep. Act No. 8799 (2000).
[40] Rep. Act No. 9296 (2004).
[41] Rep. Act No. 9829 (2009).

1885, with some modifications to suit local conditions, it has been so modified by several extensive amendments by special commercial laws such as the Corporation Code,[42] Financial Rehabilitation and Insolvency Act,[43] Chattel Mortgage Law,[44] Negotiable Instruments Act,[45] Warehouse Receipts Act,[46] Securities Regulation Code,[47] Intellectual Property Code,[48] *Bangko Sentral ng Pilipinas*,[49] General Banking Law,[50] and the Omnibus Investments Code,[51] that only a bare outline of the original code remains. Its unrepealed portions define the qualifications of merchants and acts of commerce in general, letters of credit, joint accounts, mercantile registry and bookkeeping.

The Corporation Code

The main forms of business organizations in the Philippines are sole proprietorships,[52] partnerships,[53] and corporations.[54] The Securities and Exchange Commission (SEC) administers the corporation law and registers corporations, branch offices and partnerships. For sole proprietorships, the prerequisites include registering the business name with the Bureau of Domestic Trade and obtaining a permit from the city, municipality or province where the business is to be located and the payment of a registration fee and a privilege tax. For the registration of a corporation, the major SEC requirements are:

---

[42] Batas Blg. 68 (1980).
[43] Rep. Act No. 10142 (2010).
[44] Act No. 1508 (1906).
[45] Act No. 2031 (1911).
[46] Act No. 2137 (1912).
[47] Rep. Act No. 7653 (1993).
[48] Rep. Act No. 8293 (1997).
[49] Rep. Act No. 7653 (1993).
[50] Rep. Act No. 8791 (2000), as amended.
[51] Exec. Order No. 226 (1987), 83 O.G. 3422-07 (July 1987).
[52] Act No. 3883 (1931), as amended by Act No. 4147 (1934) and Rep. Act No. 863 (1953).
[53] Civil Code, arts. 1767-1867.
[54] Batas Blg. 68 (1980), otherwise known as the Corporation Code.

(1) there must be 5 to 15 directors and a majority should be residents of the Philippines;[55]
(2) 25% of the proposed capitalization must be subscribed and 25% of the subscription paid;[56]
(3) the directors must be stockholders and at least two directors and the secretary must be residents of the Philippines.[57]

A corporation may exist for a period not exceeding 50 years, unless sooner dissolved or extended and not exceeding 50 years in any single instance.[58]

Management of a corporation is vested in a board of directors. The majority of the directors of all corporations organized under the Corporation Code must be residents of the Philippines. At all elections of directors, the owners of majority of outstanding capital stock, or if there be no capital stock, the majority of members entitled to vote must be present. Cumulative voting is provided for. Every director must own at least one share to qualify as director.[59] No person convicted by a final judgment of an offence punishable by imprisonment for a period not exceeding six years, or a violation of the Corporation Code, committed within five years prior to date of election, qualifies as a director or officer of a corporation. Officers which corporations must elect at organization meetings are the president, treasurer and secretary. Only the president is required to be a director of the corporation. Any two or more positions may be held concurrently by the same person, except that no one shall act as president and secretary or president and treasurer at the same time.

Every corporation incorporated under the Corporation Code has the power and capacity:

(1) to sue and be sued in its corporate name;

---

[55] Corp. Code, secs. 10 & 14(6).
[56] *Id.*, sec. 13.
[57] *Id.*, secs. 23 & 25.
[58] *Id.*, sec. 11.
[59] *Id.*, sec. 36.

(2) for succession by its corporate name for a period of time stated in its articles of incorporation and certificate of incorporation;
(3) to adopt and use a corporate seal;
(4) to amend its articles of incorporation;
(5) to adopt by-laws, not contrary to law, morals, or public policy, and to amend or repeal the same;
(6) in case of stock corporations, to issue or sell stocks to subscribers and to sell treasury stocks; and to admit members to the corporation if it is a non-stock corporation;
(7) to purchase, receive, take or grant, hold, convey, sell, lease, pledge, mortgage and otherwise deal with such real and personal property, including securities and bonds of other corporations, as the transaction of the lawful business of a corporation may reasonably require;
(8) to enter into merger or consolidation with other corporations;
(9) to make reasonable donations, including those for public welfare, or for hospital, charitable, cultural, scientific, civic or similar purposes: Provided that no corporation, domestic or foreign, shall give donations in aid of any political party or candidate or for purposes of partisan political activity;
(10) to establish pension, retirement, and other plans for the benefit of its directors, trustees, officers and employees;
(11) to exercise such other powers as may be essential to carry out its purpose or purposes as stated in its articles of incorporation;
(12) to increase or decrease its capital stock;[60]
(13) to incur, create or increase bonded indebtedness;[61]
(14) to sell or otherwise dispose of all or substantially all of its assets;[62]

[60] CORP. CODE, sec. 38.
[61] *Id.*, sec. 37.
[62] *Id.*, sec. 40.

(15) to invest corporate funds in another corporation or business or for any other purposes;[63]
(16) to declare dividends, cash, stock or property;[64]
(17) to acquire its own shares;[65]
(18) to extend or shorten its corporate term; and[66]
(19) to enter into management contracts.[67]

One or more stockholders of a stock corporation may create a voting trust for the purpose of conferring upon a trustee or trustees the right to vote and other rights pertaining to shares for a period not exceeding five years at any one time, provided that in case of a voting trust required as condition in loan agreement, the voting trust may be for a period not exceeding five years but shall automatically expire upon full payment of the loan. No voting trust shall be entered into for the purpose of circumventing the law against monopolies and illegal combinations in restraint of trade or used for purposes of fraud.[68]

Boards of directors of stock corporations may declare dividends out of unrestricted retained earnings which shall be payable in cash, property or stock to all stockholders on the basis of outstanding stock held by them.[69]

Stock corporations are prohibited from retaining surplus profits in excess of 100% of their paid in capital stock, except:

(1) when justified by corporate expansion projects or programmes approved by the board of directors;
(2) when the corporation is prohibited under any loan agreement with any financial institution or creditor, whether local or foreign, from declaring dividends without its/his consent; or

---

[63] CORP. CODE, sec. 42.
[64] *Id.*, sec. 43.
[65] *Id.*, sec. 41.
[66] *Id.*, sec. 37.
[67] *Id.*, sec. 44.
[68] *Id.*, sec. 59.
[69] *Id.*, sec. 43, 1st para.

(3) when it can be clearly shown that such a retention is necessary under special circumstances.[70]

Non-stock corporations are those where no part of its income is distributable as dividends to its members, trustees, or officers. Any profit which non-stock corporations may obtain shall be used for the furtherance of the purpose or purposes for which the corporation was organized. Provisions governing stock corporations, when pertinent, are applicable to non-stock corporations. Non- stock corporations may be formed for charitable, religious, educational, professional, cultural, fraternal, literary, scientific, social, civil service, or similar purposes, like trade, industry, agriculture, or any combination thereof.[71]

The right of members to vote may be limited, broadened or denied to the extent specified in the articles of incorporation or by-laws.[72] Membership in a non-stock corporation, and all rights arising therefrom, is non-transferable. Termination of membership extinguishes all rights of the member in the corporation or in its property.[73]

Under Philippine law, a foreign corporation is one which is incorporated according to the law of a country other than the Philippines whose laws allow Filipino citizens and corporations to do business in its own country.[74] It must be duly licensed by the Securities and Exchange Commission (SEC) in order to do business in the Philippines or to maintain any suit in its courts.[75] However, there have been instances where a foreign corporation which has never done any business in the Philippines and which is unlicensed and unregistered to do business here has, nevertheless, been allowed to sue in the Philippine courts. This has been allowed where the corporation is widely and favourably known in the Philippines through the use of its products bearing its corporate and trade name. They have been allowed to maintain an action

---

[70] CORP. CODE, sec. 43, 2nd para.
[71] *Id.*, secs. 87-88.
[72] *Id.*, sec. 89
[73] *Ibid.*, secs. 90-91.
[74] *Id.*, sec. 123.
[75] *Id.*, sec. 125; OMNIBUS INVESTMENTS CODE, arts. 69 & 70.

to restrain residents and inhabitants of the Philippines from organizing a corporation bearing the same name as the foreign corporation, when it appeared that they had personal knowledge of the existence of such a foreign corporation, and it was apparent that the purpose of the proposed corporation was to deal and trade in the same goods as those of the foreign corporation.[76]

Civil Code

The Civil Code[77] was drafted by a Code Commission which came into effect on July 1, 1950, replacing the Spanish Civil Code of 1889. It is divided into four books – Persons, Property, Different Modes of Acquiring Ownership, and Obligations and Contracts. Containing 2,270 articles as compared with 1,976 articles of the old Code, approximately 25% are preserved entirely from the old Code while 32% are amended articles and 43% are entirely new provisions. It includes new rules aimed at incorporating Filipino customs and new rights and causes of action such as civil actions for obstruction of civil liberty, moral and nominal damages.

Some of the important changes made by the Civil Code were the elimination of absolute divorce and the dowry; the creation of judicial or extrajudicial family homes; a chapter on Human Rights; the provisions on the quieting of title and the creation of new easements; the holographic will has been revived; the successional rights of the surviving spouse and of illegitimate children have been increased; defective contracts have been reclassified while new quasi-contracts have been created; a new chapter on reformation of contracts; and some implied trusts have been created.

---

[76] Western Equipment & Supply Co., v. Reyes, 51 Phil. 115 (1927); American Wire & Cable Co. v. Director of Patent, G.R. No. 26557, February 18, 1970, 31 SCRA 544 (1970); Converse Rubber Corp. v. Jacinto Rubber & Plastics Co. Inc., G.R. Nos. 27425 & 30505, April 28, 1980, 97 SCRA 158 (1980); La Chemise Lacoste SA v. Fernandez, G.R. Nos. 63796-97, May 21, 1984, 129 SCRA 373 (1983); Converse Rubber Corp. v. Universal Rubber Products & Evalle, G.R. No. 27906, January 8, 1987, 147 SCRA 155 (1987).

[77] Rep. Act No. 386 (1950).

Family Code

The Family Code of the Philippines came into effect on August 3, 1988.[78] It amended the Civil Code provisions on marriage and the family. Some of the more important changes introduced in the said Code were the grounds for annulment of marriage which now includes 'psychological incapacity to comply with the essential marital obligations....'[79] It also allows Filipinos, married to foreigners who later obtain a divorce abroad, to remarry under Philippine Law.[80] The Family Code has also changed the property relations between the spouses from that of a conjugal partnership of gains to an absolute community of property in the absence of stipulation in the marriage settlements.[81] The classification of children has been also simplified into legitimate and illegitimate and adopted.[82]

Adoption under Articles 334 to 348 of the Civil Code and Articles 183 to 192 of the Family Code have been amended by Republic Act No. 8552 or the Domestic Adoption Act of 1998 and Republic Act No. 8043 otherwise known as The Inter-Country Adoption Act of 1995.

Child and Youth Welfare Code

The Child and Youth Welfare Code which took effect on 10 June 1975[83] amended certain portions of the Civil Code. It is applied to persons below 21 years of age, except those emancipated in accordance with law. Some of its important features include the rights and responsibilities of the child; parental authority; adoption; the rights, duties and liabilities of parents; foster care; youth welfare; the special categories of children; and the treatment given to the youthful offender. Republic Act No. 7610 (1992), otherwise known as the Special Protection of Children

---

[78] Exec. Order No. 209 (1988), as amended by Exec. Order No. 227 otherwise known as the Family Code.

[79] Family Code, art. 36.

[80] *Id.*, art. 26, as amended by Exec. Order No. 227.

[81] *Id.*, arts. 88 & 91.

[82] *Id.*, art. 163.

[83] Pres. Decree No. 603 (1974).

Against Child Abuse, Exploitation and Discrimination Act implements the United Nations Convention on the Rights of the Child, which was ratified by the Philippines in July 1990. It amended the definition of the child as a person below 18 years of age or those over but are unable to take care of themselves from abuse, neglect, cruelty, exploitation or discrimination because of a physical or mental disability or condition. Some of its provisions have been amended by the Juvenile Justice Welfare Act, Republic Act No. 9344 (2006). Other laws which were enacted to protect children were Republic Act No. 9208 (2003) as amended by Republic Act No. 10364 (2013) which is the "Expanded Anti-Trafficking in Persons Act; Republic Act No. 9255 (2004), An Act Allowing Illegitimate Children to use the Surname of their Father; Republic Act No. 9262 (Anti-Violence Against Women and Their Children Act of 2004); Republic Act No. 9523 (2009), Act Requiring Certification of the DSWD to declare a "Child Legally Available for Adoption"; Republic Act No. 9775 (2009), The Anti-Child Pornography Law; some provisions of Republic Act No. 10175, The Cybercrime Prevention Act of 2012; and Republic Act No. 10165, The Foster Care Act of 2012.

Muslim Code of Personal Laws

The Code of Muslim Personal Laws of the Philippines[84] promulgated on February 04, 1977, illustrates the government's concern for the customs, traditions, beliefs and interests of the national cultural communities. Recognizing the legal system of the Filipino Muslims and seeking to make Islamic institutions more effective, this Code deals with marriage (*nikah*), divorce (*talaq*), paternity and filiation, support (*nafaqa*), parental authority, civil registry, succession and the *shari'a* courts.

Labor Code

The Labor Code revises and consolidates labor and social laws to afford protection to workers, promote employment and human resources development and ensure industrial peace based

[84] Pres. Decree No. 1083 (1979).

on social justice.[85] It is divided into seven books.

Book I is entitled 'Pre-Employment' and deals with recruitment and placement of workers and the employment of non-resident aliens.[86]

Book II is entitled 'Human Resources Development' and deals with the national manpower development programme, apprenticeship, leaners and handicapped workers.[87]

Book III is entitled 'Conditions of Employment' and deals with hours of work, weekly rest periods and wages, as well as provisions for the employment of women, minors househelpers and homeworkers.[88] The normal hours of work of any employee shall not exceed eight hours a day with 60 minutes time off for their regular meals. Work performed beyond the eight hours merits additional compensation equivalent to his regular wage plus at least 25% thereof. Employees enjoy a rest period of not less than 24 consecutive hours after every six consecutive work days. Although the employer determines the weekly rest day, he is required to respect the preference of employees as to their weekly rest day when such preference is based on religious grounds. Usually, work performed on a rest day, such as a Sunday or holiday, shall be paid an additional compensation of at least 30% of his regular wage. However, where the collective bargaining agreement or other applicable employment contract stipulates the payment of a higher premium, then the employer shall pay such a higher rate.[89] Every worker shall be paid his regular daily wage during regular holidays, except in retail and service establishments regularly employing less than ten workers. The employer may require an employee to work on any holiday but such employees shall be paid a compensation equivalent to twice their regular rate. Holidays include New Year's Day, Maundy Thursday, Good Friday, April 9, May 1, June 12, July 4, November 30, and December 25 and

---

[85] Pres. Decree No. 442 (1974), as amended otherwise cited as the LABOR CODE.
[86] LABOR CODE, arts. 13-42.
[87] *Id.*, arts. 43-81.
[88] *Id.*, arts. 82-155.
[89] *Id.*, arts. 83, 85, 87, 91, & 93.

30.[90] Every employee who has rendered at least one year of service is entitled to a yearly service incentive leave of five days leave with pay.[91]

The minimum wage rates for agricultural and non-agricultural employees and workers in each and every region of the country are those prescribed by the Regional Tripartite Wages and Productivity Board according to relevant factors.[92]

Book IV is entitled 'Health, Safety and Social Welfare Benefits' and deals with medical, dental and occupational safety, employees' compensation and the State Insurance Fund, Medicare and adult education.[93] The Social Security Act provides for retirement, death, disability and sickness benefits. Coverage is compulsory for all employees from the date of their employment and for employers from their first day of operation. Also covered are all self-employed persons earning P1,800 or more per annum. Its applicability to certain groups of self-employed is determined by the Social Security Commission under such rules and regulations as it may prescribe. Philippine citizens recruited by foreign–based employers for employment abroad may be covered by the Social Security System (SSS) on a voluntary basis.[94] On the other hand, the government employees are covered by the Government Service Insurance System (GSIS).[95] The National Health Insurance Programs or Philhealth covers all Filipinos but private employees care have a separate medicare program.[96]

Book V is entitled 'Labor Relations' and covers the National Labor Relations Commission, the Bureau of Labor Relations, Labor organizations, unfair labor practices, collective bargaining and the administration of agreements, strikes and lockouts, foreign involvement in trade union activities and special provisions.[97] The National Labor Relations Commission was

---

[90] *Id.*, art. 94. Lately, Rep. Act No. 9492 (2010) and Proc. No. 1841 (2010) changed the schedule of Philippine holidays.

[91] Pres. Decree No. 442 (1974), art. 95.

[92] *Id.*, art. 99, as amended by Rep. Act No. 6727 (1989).

[93] *Id.*, arts. 156-210.

[94] Rep. Act No. 7875 (1995), as amended by Rep. Act No. 9241 (2004).

[95] Rep. Act No. 8291 (1977).

[96] Rep. Act No. 7875 (1995), as amended by Rep. Act No. 9241 (2004).

[97] Labor Code, arts. 211-274, as amended.

established in the Department of Labor and Employment, is composed of a chairman and five members representing employers, four members representing the public, and five members representing employees. The Commission exercises appellate jurisdiction over all cases decided by labor arbiters.[98]

The labor arbiters exercise exclusive jurisdiction to hear and decide within 30 calendar days of submission for decision, without extension, the following matters:

(1) unfair labor practice cases;
(2) termination disputes;
(3) if accompanied by a claim for reinstatement, those cases that workers may file regarding wages, rates of pay, hours of work and other terms and conditions of employment;
(4) claims for actual, moral, exemplary, and other forms of damages arising from employer-employee relations;
(5) cases arising from any violation of Article 264 of the Labor Code, including questions involving the legality of strikes and lockouts; and
(6) except for employees' compensation, social security, medicare and maternity benefits, all other claims arising from employer-employee relations, including those of persons in domestic or household service, involving an amount exceeding P5,000.

Cases arising from the interpretation or implementation of the collective bargaining agreement (CBA) and those arising from the interpretation or enforcement of company personnel policies shall be disposed of by the labor arbiter by referring them to the grievance machinery and voluntary arbitration, as may be provided for in agreements.[99]

---

[98] *Id.*, art. 213, as amended.
[99] *Id.*, art. 243, as amended.

All persons employed in commercial, industrial and agricultural enterprises, including religious, charitable, medical, or educational institutions, whether operating for profit or not, have the right to self-organisation and to form, join, or assist in labor organizations of their choosing for the purpose of collective bargaining.[100] Exempted from joining are managerial employees, government employees from agencies established by law[101] and members of cooperatives.[102]

Parties to a CBA will include in the agreement, provisions that will ensure the mutual observance of its term and conditions. The CBA should contain the machinery for the adjustment and resolution of grievances arising from the interpretation or implementation of their CBA and those arising from the interpretation or enforcement of company personnel policies. If grievances are not settled within seven calendar days of submission, they are automatically referred to voluntary arbitration as prescribed in the CBA. The voluntary arbitration or panel of voluntary arbiters have exclusive jurisdiction to hear and decide all unresolved grievances arising from the interpretation or implementation of the CBA or company personnel policies. Violations of a CBA, except those which are gross in character, shall no longer be treated as unfair labour practice but are resolved as grievances under the CBA. The award or decision of the voluntary arbitrator is final and executory after ten calendar days from receipt of the copy of the award or decision by the parties.[103] Appeals can be made to the Court of Appeals[104] and only to the Supreme Court by *certiorari* on questions of law.

Book VI is entitled 'Post-Employment' which deals with security of tenure, regular, casual and probationary employment,

---

[100] *Id.*, art. 243, as amended.

[101] *Id.*, arts. 244 -245, as amended.

[102] Benguet Electric Co-operative, Inc. v. Calleja, G.R. No. 79025, December 29, 1989, 180 SCRA 740 (1989).

[103] LABOR CODE, arts. 260-262 as amended, (A) & (B).

[104] St. Martin's Funeral Home v. NLRC, G.R. No. 130866, September 16, 1998.

termination by employer or employee, closure of establishments and reduction of personnel, and retirement from service.[105]

Book VII contains the 'Transitory and Final Provisions' which includes panel provisions as well as prescription of offenses and claims.[106]

[105] LABOR CODE, arts. 288-302, as amended.
[106] *Id.*, arts. 288-302, as amended.